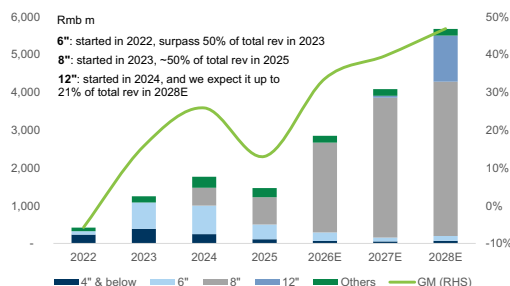


SICC (688234.SS)

12-inch in expansion toward 2027E; down to Neutral on fair valuation

688234.SS 12m Price Target: **Rmb104.00** Price: **Rmb86.65** Upside: **20.0%**

We remain positive on SICC and expect its net income to grow at an +87% CAGR in 2026–28E on the back of (1) rising SiC adoption rate across various end markets, (2) product mix upgrade toward 8" / 12" wafers, (3) market share expansion on its strong R&D and continuous capacity expansion, and (4) GM expansion on better product mix and yield rate enhancement. The stock currently trades at 43x 2027E P/E, based on 88% 2027–28E NI YoY and 30% 2027–28E OPM, or ratio at 0.4x, largely in line with peers' trading ratio (e.g. InnoScience at 0.3x, ST Micro at 0.3x, Starpower at 0.4x, Naura at 0.5x). We believe the positives are largely in the price. Our new target price of Rmb104 (vs. Rmb115 previously) implies 20% upside. With less upside across our Greater China Technology coverage, we downgrade SICC from Buy to Neutral. We would turn more positive on SICC once we see faster-than-expected ramp up in 12-inch SiC substrates, slower-than-expected pricing decline in 6-inch / 8-inch SiC substrate, or faster-than-expected GM enhancement.

Exhibit 1: SICC revenues by products and GM trend

Source: Company data, Goldman Sachs Global Investment Research

12-inch in expansion toward 2027E: SICC launched global first 12-inch SiC substrate in 2024, and introduced 12-inch SiC substrate

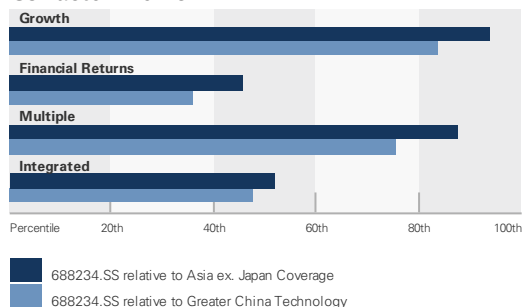
NEUTRAL**Verena Jeng**+852-2978-1681 | verena.jeng@gs.com
Goldman Sachs (Asia) L.L.C.**Allen Chang**+852-2978-2930 | allen.k.chang@gs.com
Goldman Sachs (Asia) L.L.C.**Yifan Hu**+852-2978-0996 | yifan.hu@gs.com
Goldman Sachs (Asia) L.L.C.**Key Data**

Market cap: Rmb42.0bn / \$6.2bn
Enterprise value: Rmb39.8bn / \$5.9bn
3m ADTV: Rmb2.7bn / \$392.5mn
China
Greater China Technology
M&A Rank: 3
Leases incl. in net debt & EV?: No

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (Rmb mn) New	1,464.9	2,851.1	4,088.3	5,683.6
Revenue (Rmb mn) Old	1,603.9	2,878.5	4,167.7	5,781.4
EBITDA (Rmb mn)	147.5	880.0	1,476.3	2,368.4
EPS (Rmb) New	(0.43)	0.99	2.01	3.49
EPS (Rmb) Old	0.04	1.06	2.18	3.79
P/E (X)	NM	87.3	43.1	24.9
P/B (X)	4.5	5.5	NM	NM
Dividend yield (%)	0.0	0.0	0.0	0.0
CROCI (%)	3.7	8.9	13.0	17.0

	3/26	6/26E	9/26E	12/26E
EPS (Rmb)	(0.12)	0.02	0.29	0.80

GS Factor Profile

Source: Company data, Goldman Sachs Research estimates. See disclosures for details.

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NEUTRAL

SICC (688234.SS)

Rating since Aug 3, 2026

Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	NM	87.3	43.1	24.9
P/B (X)	4.5	5.5	NM	NM
FCF yield (%)	(0.5)	0.2	1.6	2.2
EV/EBITDAR (X)	205.1	45.2	26.5	16.1
EV/EBITDA (excl. leases) (X)	205.1	45.2	26.5	16.1
CROCI (%)	3.7	8.9	13.0	17.0
ROE (%)	(3.3)	6.5	12.0	17.8
Net debt/equity (%)	(29.7)	(29.0)	(33.4)	(36.9)
Net debt/equity (excl. leases) (%)	(29.7)	(29.0)	(33.4)	(36.9)
Interest cover (X)	(7.3)	18.5	36.2	66.4
Days inventory outst, sales	259.8	179.1	162.8	143.4
Receivable days	139.2	90.0	75.0	75.0
Days payable outstanding	215.3	210.0	210.0	210.0
DuPont ROE (%)	(2.9)	6.3	11.3	16.4
Turnover (X)	0.2	0.3	0.3	0.4
Leverage (X)	1.3	1.4	1.4	1.4
Gross cash invested (ex cash) (Rmb)	8,782.7	9,636.0	11,011.6	13,099.9
Average capital employed (Rmb)	4,910.4	5,240.5	5,591.6	6,127.4
BVPS (Rmb)	14.81	15.80	—	—

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	(17.2)	94.6	43.4	39.0
EBITDA growth	(66.2)	496.8	67.8	60.4
EPS growth	(203.2)	330.8	102.4	73.6
DPS growth	NM	NM	NM	NM
EBIT margin	(14.0)	17.8	26.3	34.6
EBITDA margin	10.1	30.9	36.1	41.7
Net income margin	(14.2)	16.9	23.8	29.7

Price Performance**Income Statement (Rmb mn)**

	12/25	12/26E	12/27E	12/28E
Total revenue	1,464.9	2,851.1	4,088.3	5,683.6
Cost of goods sold	(1,273.7)	(1,891.4)	(2,464.9)	(3,018.4)
SG&A	(216.6)	(222.1)	(257.6)	(298.4)
R&D	(165.8)	(213.8)	(272.2)	(369.4)
Other operating inc./exp.)	(14.2)	(17.7)	(20.4)	(28.4)
EBITDA	147.5	880.0	1,476.3	2,368.4
Depreciation & amortization	(352.8)	(373.9)	(403.1)	(399.4)
EBIT	(205.3)	506.1	1,073.2	1,969.0
Net interest inc./exp.)	12.7	42.6	38.5	47.6
Income/(loss) from associates	(5.2)	(0.9)	—	—
Pre-tax profit	(199.4)	495.9	1,023.7	1,876.5
Provision for taxes	(9.2)	(16.4)	(51.2)	(187.7)
Minority interest	0.2	1.4	0.8	0.8
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	(208.3)	480.8	973.3	1,689.7
Post-tax exceptionals	—	—	—	—
Net inc. (post-exceptionals)	(208.3)	480.8	973.3	1,689.7
EPS (basic, pre-exception) (Rmb)	(0.43)	0.99	2.01	3.49
EPS (diluted, pre-exception) (Rmb)	(0.43)	0.99	2.01	3.49
EPS (basic, post-exception) (Rmb)	(0.43)	0.99	2.01	3.49
EPS (diluted, post-exception) (Rmb)	(0.43)	0.99	2.01	3.49
DPS (Rmb)	—	—	—	—
Div. payout ratio (%)	0.0	0.0	0.0	0.0

Balance Sheet (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	3,178.3	3,406.8	4,063.2	4,996.6
Accounts receivable	551.3	854.8	825.4	1,510.4
Inventory	1,063.4	1,734.8	1,911.8	2,553.8
Other current assets	499.2	499.2	499.2	499.2
Total current assets	5,292.2	6,495.6	7,299.6	9,559.9
Net PP&E	3,588.3	3,728.3	3,848.9	3,972.8
Net intangibles	268.7	253.0	247.7	242.6
Total investments	0.0	0.0	0.0	0.0
Other long-term assets	434.0	434.0	434.0	434.0
Total assets	9,583.2	10,911.0	11,830.2	14,209.3
Accounts payable	731.6	1,444.8	1,391.5	2,081.7
Short-term debt	705.2	805.6	805.6	805.6
Short-term lease liabilities	—	—	—	—
Other current liabilities	102.7	102.7	102.7	102.7
Total current liabilities	1,539.5	2,353.1	2,299.8	2,990.0
Long-term debt	345.2	380.1	380.1	380.1
Long-term lease liabilities	—	—	—	—
Other long-term liabilities	523.2	523.2	523.2	523.2
Total long-term liabilities	868.4	903.2	903.2	903.2
Total liabilities	2,407.9	3,256.3	3,203.0	3,893.2
Preferred shares	—	—	—	—
Total common equity	7,175.3	7,656.1	8,629.4	10,319.1
Minority interest	0.0	(1.4)	(2.2)	(3.0)
Total liabilities & equity	9,583.2	10,911.0	11,830.2	14,209.3
Net debt, adjusted	(2,127.9)	(2,221.2)	(2,877.6)	(3,811.0)

Cash Flow (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Net income	(208.3)	480.8	973.3	1,689.7
D&A add-back	352.8	373.9	403.1	399.4
Minority interest add-back	(0.2)	(1.4)	(0.8)	(0.8)
Net (inc)/dec working capital	(65.5)	(261.7)	(200.9)	(636.7)
Other operating cash flow	151.9	10.0	—	—
Cash flow from operations	230.6	601.6	1,174.7	1,451.6
Capital expenditures	(403.3)	(508.9)	(508.9)	(508.9)
Acquisitions	(108.6)	—	—	—
Divestitures	—	—	—	—
Others	(8.1)	0.7	(9.3)	(9.3)
Cash flow from investing	(520.0)	(508.3)	(518.3)	(518.3)
Repayment of lease liabilities	—	—	—	—
Dividends paid (common & pref)	—	—	—	—
Inc/(dec) in debt	350.9	135.2	0.0	—
Other financing cash flows	1,877.6	0.0	0.0	0.0
Cash flow from financing	2,228.5	135.2	0.0	0.0
Total cash flow	1,939.1	228.5	656.4	933.4
Free cash flow	(172.7)	92.7	665.8	942.7

Source: Company data, Goldman Sachs Research estimates.

across Conductive N-type SiC, Conductive P-type SiC, and Semi-insulating SiC in 2025, reflecting its strong R&D capabilities. The larger size of substrate could reduce costs per units, driving adoption of SiC. For example, chips per wafer doubles in 8-inch SiC substrate vs. 6-inch SiC substrate. In addition, 12-inch SiC substrate could expand to more applications:

- **Advanced packaging:** 12-inch are the mainstream for global advanced nodes fabrication and packaging production line, and high-end AI chips feature in large die size, which is not economic-optimal if using 6-inch / 8-inch substrate. The thermal conductivity of SiC is 3x better than Silicon (up to 490 W / mK vs. Silicon at 150 W / mK), making it suitable for the rising thermal design power (TDP) of AI chips (e.g. TDP up from 700W in H100 to 2,300W in Rubin Ultra). In addition, semi-insulating SiC also has low dielectric loss, suitable for high speed connection. SiC substrate could be used in interposer and TIM2 (thermal interface material 2).
- **AR glasses:** High-purity semi-insulating SiC could be used in diffractive waveguide in AR glasses (Micro-LED substrate), offering a wider FOV (field of view) of up to 70-80 degrees compared to glass given the high refractive index. It could also bring (1) clearer images by reducing visual flaws such as rainbow effect or ghosting, (2) single-layer design to achieve full-color imaging compared to glass which requires multiple layers to handle colors, reducing weight, and (3) stronger thermal conductivity and durability compared to glass.
- **AR HUD:** Similar to AR glasses, the SiC-based waveguide could be used in automotive AR HUD, offering a wider FOV and clearer images under bright lights. The technology could move driver & machine interaction from infotainment system to the front glass, allowing the driver to receive digital information (e.g. virtual navigation) without looking down, enhancing driving experience. The SiC-based AR HUD is likely to be adopted in Rmb400k+ (US\$56k+) high-end EVs in 2027E ([link](#)).

Earnings revision

We reduce our 2026-28E net income by 6% / 8% / 8% mainly on lower revenues and GM, reflecting the price decline on 6-inch / 8-inch SiC substrate. The price decline in SiC substrate also reflects the improving production yield rates in the industry, leading to increased supply and lower costs, which in turn drives the adoption of SiC from Silicon. We continue to expect SICC's GM to rise through 2028E driven by improving yield rate and product mix upgrade toward 8-inch / 12-inch; nevertheless, the company's GM of 13.1% / 19.1% in 2025 / 1Q26 suggests our previous assumption of 34% / 41% / 49% GM in 2026-28E could be aggressive.

Exhibit 2: Revenues and GM revision by products

	2026E	2027E	2028E		2026E	2027E	2028E
Revenues (Rmb m)				GM			
NEW	2,851	4,088	5,684	NEW	33.7%	39.7%	46.9%
4" and below SiC substrate	64	55	68	4" and below SiC substrate	16.8%	17.0%	17.2%
6" SiC substrate	226	100	130	6" SiC substrate	21.9%	30.0%	35.0%
8" SiC substrate	2,382	3,704	4,086	8" SiC substrate	37.5%	42.0%	48.0%
12" SiC substrate	-	49	1,222	12" SiC substrate		46.0%	52.5%
Others	179	179	179	Others	3.1%	3.0%	3.0%
OLD	2,879	4,168	5,781	OLD	34.4%	41.1%	48.7%
4" and below SiC substrate	12	11	10	4" and below SiC substrate	28.4%	28.2%	28.1%
6" SiC substrate	330	222	211	6" SiC substrate	14.0%	27.3%	30.0%
8" SiC substrate	2,445	3,844	5,470	8" SiC substrate	37.9%	42.5%	50.0%
12" SiC substrate	na	na	na	12" SiC substrate	na	na	na
Others	91	91	91	Others	14.8%	14.7%	14.6%
CHG	-1%	-2%	-2%	CHG (NEW - OLD)	-1%	-1%	-2%
4" and below SiC substrate	433%	408%	590%	4" and below SiC substrate	-12%	-11%	-11%
6" SiC substrate	-31%	-55%	-38%	6" SiC substrate	8%	3%	5%
8" SiC substrate	-3%	-4%	-25%	8" SiC substrate	0%	-1%	-2%
12" SiC substrate	na	na	na	12" SiC substrate	na	na	na
Others	96%	96%	96%	Others	-12%	-12%	-12%

Source: Goldman Sachs Global Investment Research

Exhibit 3: SICC earnings revision

	2026E			2027E			2028E		
Rmb m	Old	New	Diff %	Old	New	Diff %	Old	New	Diff %
Revenues	2,879	2,851	-1%	4,168	4,088	-2%	5,781	5,684	-2%
GP	990	960	-3%	1,713	1,623	-5%	2,814	2,665	-5%
OP	536	506	-6%	1,165	1,073	-8%	2,145	1,969	-8%
Net income	513	481	-6%	1,058	973	-8%	1,834	1,690	-8%
EPS (Rmb, diluted)	1.06	0.99	-6%	2.18	2.01	-8%	3.79	3.49	-8%
Margins									
GM	34.4%	33.7%		41.1%	39.7%		48.7%	46.9%	
OPM	18.6%	17.8%		28.0%	26.3%		37.1%	34.6%	
NM	17.8%	16.9%		25.4%	23.8%		31.7%	29.7%	

Source: Company data, Goldman Sachs Global Investment Research

Valuation

We continue to derive SICC target price via 2029E discounted PE and derive the target PE multiple from peers' average ratio of trading PE to forward year fundamentals (EPS YoY and OPM) as we believe margin expansion is also vital to the multiple as it reflects its R&D capability and product mix upgrade. Based on the peers' avg. ratio of 0.6x and SICC's forward year fundamentals (14% 2029-30E EPS YoY and 36% 2029-30E OPM), we derive the 2029E target PE multiple at 32.2x. Our previous ratio of 2029E target PE multiple to forward year fundamentals (EPS YoY and OPM) is at 0.4x, reflecting the China Semis re-rating YTD which we attribute to generative AI driving advanced nodes, advanced packaging, high-end memory, and ongoing localization trend. We adopt the 32.2x target PE multiple to 2029E EPS and discounted back to 2027E via 12.5% COE (no change). Our new target price of Rmb104 implied 52x 2027E PE, similar to our previous TP implied 2027E PE of 53x, and is within the company's historical trading range of 52x to 259x PE. With less upside to our coverage in Greater China Technology, we downgrade SICC from Buy to Neutral. We would turn more positive on SICC once we see faster-than-expected ramp up in 12-inch SiC substrate, less-than-expected pricing decline in 6-inch / 8-inch SiC substrate, or faster-than-expected GM enhancement.

Since SICC was added to the Buy list on 24 June, 2022, the share price has increased 35% vs. a 4% increase in the Shanghai-Shenzhen 300 Index; we attribute this outperformance to its leading market position in SiC substrate, driving its product mix upgrade, end application expansion, and riding on the growing SiC adoption.

Exhibit 4: SICC peers comparison

Company Ticker	SICC 688234.SS	Company Ticker	Jingsheng 300316.SZ	Coherent COHR	ST Micro STM	Naura 002371.SZ	Starpower 603290.SS	Hua Hong 1347.HK	InnoScience 2577.HK
Rating	Buy	Rating	NC	NC	Neutral	Buy	Neutral	Buy	Buy
12M TP	104.0	Close price	38.6	262.9	45.7	687.0	80.5	128.3	39.1
2029E PE (TP implied)	32.2	2027E PE	50.1	26.0	22.5	37.1	22.5	79.9	82.1
2029-30E EPS YoY	14%	2027-28E EPS YoY	20%	45%	68%	50%	40%	58%	236%
2029-30E OPM	36%	2027-28E OPM	16%	24%	16%	23%	14%	6%	18%
Ratio	0.6	Ratio	1.4	0.4	0.3	0.5	0.4	1.2	0.3

NC: not covered, based on Bloomberg consensus; price as of July 31, 2026

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Exhibit 5: SICC discounted PE

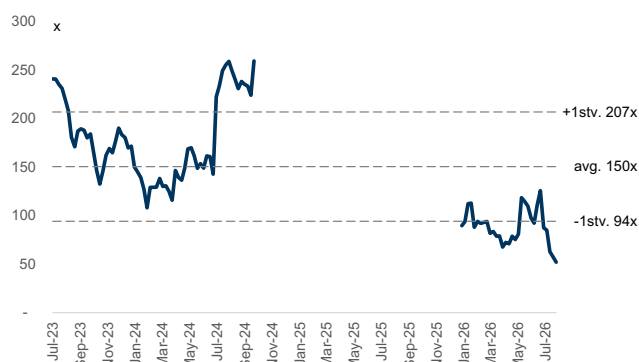
Rmb m	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Milestone	Semi-insulating (mainly for RF)				6-inch conductive (mainly for EVs)			8-inch ramp up (EV + AI)			Global expansion toward AI		
Revenue	136	269	425	494	417	1,251	1,768	1,465	2,851	4,088	5,684	6,422	6,872
Revenue YoY		97%	58%	16%	-16%	200%	41%	-17%	95%	43%	39%	13%	7%
GM	25.6%	37.7%	35.3%	28.4%	-5.8%	15.8%	25.9%	13.1%	33.7%	39.7%	46.9%	46.9%	46.9%
GP	35	101	150	140	(24)	198	458	191	960	1,623	2,665	3,012	3,222
Opex ratio	29.4%	105.5%	185.1%	29.4%	60.6%	25.6%	20.3%	27.1%	15.9%	13.5%	12.3%	11.3%	10.3%
OP	(5)	(182)	(637)	(5)	(277)	(122)	99	(205)	506	1,073	1,969	2,289	2,518
OPM	-3.8%	-67.8%	-149.8%	-1.0%	-66.4%	-9.7%	5.6%	-14.0%	17.8%	26.3%	34.6%	35.6%	36.6%
Net profit	(42)	(201)	(642)	90	(175)	(46)	179	(208)	481	973	1,690	1,978	2,184
NP YoY		376%	220%	-114%	-295%	-74%	-492%	-216%	-331%	102%	74%	17%	10%
EPS	(0.64)	(2.18)	(1.66)	0.23	(0.41)	(0.11)	0.42	(0.43)	0.99	2.01	3.49	4.08	4.51
EPS YoY		238%	-24%	-114%	-275%	-74%	-492%	-203%	-331%	102%	74%	17%	10%
TP implied P/E									105	52	30	25	23

Target PE	32.2
Target PE x 2029 EPS	131
Value per share (Rmb, 2027E): Target Price	104.0

COE	12.5%
Beta	1.4
Risk-free rate	3.5%
Market risk premium	6.5%

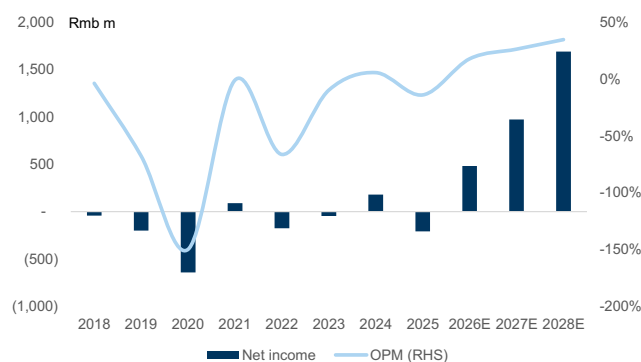
Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Exhibit 6: SICC 12M forward PE ratio



Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Exhibit 7: SICC net income and OPM trend



Source: Company data, Goldman Sachs Global Investment Research

Upside / Downside risks

- **Faster / Slower-than-expected ramp up in 12-inch SiC substrate**, which could be caused by faster / slower-than-expected 12-inch SiC devices commercialization, faster / slower-than-expected end application adoption (e.g. AI servers, AR glasses,

AR HUD, etc.), or faster / slower-than-expected production yield rate ramp up.

- **Less / More-than-expected pricing decline in 6-inch / 8-inch SiC substrate**, which could be caused by healthier / fiercer-than-expected competition due to less / more new entrants, or healthy / weak end market demand enhancing / reducing clients' budgets.
- **Faster / Slower-than-expected GM enhancement**, which could be caused by faster / slower-than-expected production yield rate ramp up or faster / slower-than-expected product mix upgrade toward large-size SiC substrate. The yield rate could be enhanced by growing a thicker SiC ingot in a fixed duration, detecting and reducing defects on the substrate, etc.

Financial tables

Exhibit 8: SICC P&L

Rmb mn	2023	2024	2025	2026E	2027E	2028E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Income statement														
Revenue	1,251	1,768	1,465	2,851	4,088	5,684	408	386	318	353	366	405	975	1,106
Gross profit	198	458	191	960	1,623	2,665	98	49	66	(21)	70	95	261	534
OP income	(122)	99	(205)	506	1,073	1,969	(4)	(28)	(42)	(132)	(19)	1	134	390
Net income	(46)	179	(208)	481	973	1,690	9	2	(10)	(209)	(61)	11	140	389
EPS (Rmb, diluted)	(0.11)	0.42	(0.43)	0.99	2.01	3.49	0.02	0.01	(0.02)	(0.44)	(0.12)	0.02	0.29	0.80
Margins														
Gross margin	15.8%	25.9%	13.1%	33.7%	39.7%	46.9%	23.9%	12.6%	20.6%	-5.9%	19.1%	23.5%	26.7%	48.3%
Operating margin	-9.7%	5.6%	-14.0%	17.8%	26.3%	34.6%	-1.1%	-7.2%	-13.0%	-37.4%	-5.2%	0.2%	13.7%	35.3%
Net margin	-3.7%	10.1%	-14.2%	16.9%	23.8%	29.7%	2.1%	0.6%	-3.1%	-59.4%	-16.6%	2.8%	14.4%	35.2%
Ratios														
Opex ratio	26%	20%	27%	16%	13%	12%	25%	20%	34%	31%	24%	23%	13%	13%
Tax rate	19%	-12%	-5%	3%	5%	10%	-59%	-5%	-246%	-3%	0%	0%	3%	3%
YoY														
Revenue	200%	41%	-17%	95%	43%	39%	-4%	-21%	-14%	-28%	-10%	5%	206%	213%
Gross profit	na	132%	-58%	402%	69%	64%	5%	-58%	-46%	na	-28%	95%	298%	na
OP income	na	na	na	na	112%	83%	na	na	na	na	na	na	na	na
Net income	na	na	na	na	102%	74%	-82%	-96%	na	na	na	387%	na	na
QoQ														
Revenue							-16%	-5%	-18%	11%	4%	11%	141%	13%
Gross profit							-23%	-50%	34%	na	na	36%	175%	105%
OP income							na	na	na	na	na	na	18826%	192%
Net income							-76%	-72%	na	na	na	na	1121%	177%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 9: SICC balance sheet

Rmb mn	2023	2024	2025	2026E	2027E	2028E
Balance Sheet						
Cash and equivalents	1,030	1,239	3,178	3,407	4,063	4,997
Net receivables	364	566	551	855	825	1,510
Inventory	843	1,022	1,063	1,735	1,912	2,554
Other current assets	566	297	499	499	499	499
Current assets	2,804	3,125	5,292	6,496	7,300	9,560
Net PP&E/Fixed assets	3,418	3,615	3,588	3,728	3,849	3,973
Net intangibles	273	275	269	253	248	243
Other long-term assets	416	343	434	434	434	434
Long-term assets	4,107	4,232	4,291	4,415	4,531	4,649
Total assets	6,911	7,357	9,583	10,911	11,830	14,209
Accounts payable	1,070	771	732	1,445	1,391	2,082
Short-term debt	3	614	705	806	806	806
Other current liabilities	230	158	103	103	103	103
Current liabilities	1,304	1,543	1,540	2,353	2,300	2,990
Long-term debt	-	86	345	380	380	380
Other long-term liabilities	381	415	523	523	523	523
Long term liabilities	381	501	868	903	903	903
Total liabilities	1,685	2,044	2,408	3,256	3,203	3,893
Common stock	430	430	485	485	485	485
Treasury stock	-	(100)	(80)	(80)	(80)	(80)
Retained earnings	(289)	(110)	(319)	162	1,136	2,825
Other common equity	5,086	5,094	7,090	7,090	7,090	7,090
Total common equity	5,227	5,313	7,175	7,656	8,629	10,319
Minority interest	-	-	-	(1)	(2)	(3)
Total equity	5,227	5,313	7,175	7,655	8,627	10,316
BVPS (Rmb)	12.16	12.36	14.81	15.80	17.81	21.29
Cash conversion cycle						
Net receivable days	75	96	139	90	75	75
Inventory days	239	260	299	270	270	270
Net payable days	218	256	215	210	210	210
Cash conversion cycle	96	99	223	150	135	135
Ratios						
Net debt	(1,027)	(540)	(2,128)	(2,221)	(2,878)	(3,811)
Net debt to total equity	-20%	-10%	-30%	-29%	-33%	-37%
Net cash per share	2.39	1.26	4.39	4.58	5.94	7.86
Dupont analysis						
Asset turnover	0.20	0.25	0.17	0.28	0.36	0.44
Leverage (assets to equity)	1.22	1.35	1.36	1.38	1.40	1.37
Net margin	-4%	10%	-14%	17%	24%	30%
ROE (common equity)	-1%	3%	-3%	6%	12%	18%
ROA	-1%	3%	-2%	5%	9%	13%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 10: SICC cash flow

Rmb mn	2023	2024	2025	2026E	2027E	2028E
Cash flow statement						
Net income	(46)	179	(208)	481	973	1,690
Minority interest add-back	-	-	(0)	(1)	(1)	(1)
Depreciation and amortization add-back	217	338	353	374	403	399
Net loss/(gain) on asset sales	-	(1)	0	10	-	-
(Increase)/decrease in working capital	363	(680)	(66)	(262)	(201)	(637)
Other operating cash flow items	(521)	230	152	-	-	-
Cash flow from operating	13	66	231	602	1,175	1,452
Capital expenditure	(1,395)	(568)	(403)	(509)	(509)	(509)
Other investment cash flow items	1,519	275	(117)	1	(9)	(9)
Cash flow from investing	123	(293)	(520)	(508)	(518)	(518)
Dividends paid	-	-	-	-	-	-
Change in common stock	-	-	55	-	-	-
Increase/(decrease) in short-term debt	3	611	91	100	-	-
Increase/(decrease) in long-term debt	-	86	259	35	-	-
Other financing cash flow items	(9)	(125)	1,872	-	-	-
Cash flow from financing	(6)	571	2,278	135	-	-
Others	214	(135)	(49)	(0)	0	0
Net change in cash	345	209	1,939	229	656	933
Ratio						
Capex to revenues	112%	32%	28%	18%	12%	9%

Source: Company data, Goldman Sachs Global Investment Research

Price Target Risks and Methodology - SICC

Valuation methodology: We are Neutral rating on SICC. Our 12-month target price of Rmb104 is based on 32.2x 2029E P/E. Our target P/E multiple is derived from peers' average ratio of trading P/E to forward year fundamentals (EPS YoY and OPM). **Upside / downside risks:** (1) Faster / Slower-than-expected ramp up in 12-inch SiC substrate, (2) Less / More-than-expected pricing decline in 6-inch / 8-inch SiC substrate, (3) Faster / Slower-than-expected GM enhancement.

SICC is a leading SiC substrate supplier globally, offering 4-inch / 6-inch / 8-inch / 12-inch SiC substrate across semi-insulating and conductive SiC substrates. The company is riding on growing SiC adoption in EVs (e.g. 800V fast charging, AR-HUD), AR glasses, advanced packaging for AI chips (e.g. interposer, TIM2), power semis in AI data center power supply, etc. and enjoying GM expansion on enhancing yield rate and product mix upgrade toward large-size SiC substrate. We are Neutral rated on SICC given fair valuation and less upside in Greater China Technology coverage.

Disclosure Appendix

Reg AC

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Contributing Authors: Verena Jeng Goldman Sachs (Asia) L.L.C., Allen Chang Goldman Sachs (Asia) L.L.C., Yifan Hu Goldman Sachs (Asia) L.L.C..

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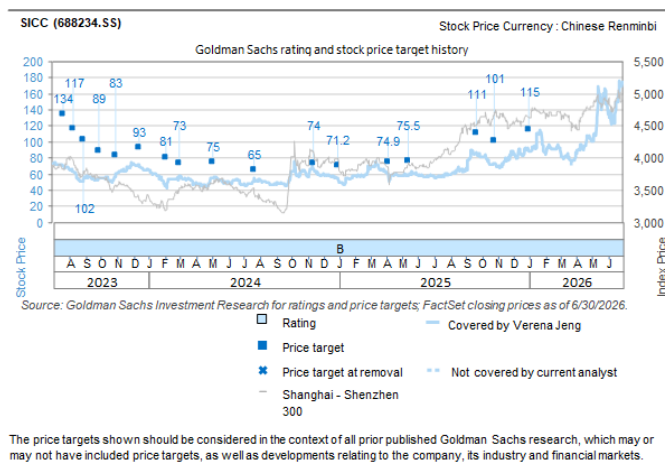
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Price target and rating history chart(s)



Target price history table(s)

SICC (688234.SS)

Date of report	Target price (Rmb)	Closing price (Rmb)
01-Jan-26	115.00	88.88
27-Oct-25	101.00	73.86
22-Sep-25	111.00	87.58
14-May-25	75.50	58.51
07-Apr-25	74.90	51.56
31-Dec-24	71.20	51.20
13-Nov-24	74.00	66.22
22-Jul-24	65.00	54.81
03-May-24	75.00	55.54
01-Mar-24	73.00	57.56
04-Feb-24	81.00	45.01
14-Dec-23	93.00	72.00
30-Oct-23	83.00	60.17
28-Sep-23	89.00	54.90
30-Aug-23	102.00	55.77
10-Aug-23	117.00	63.38

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